

An Act

ENROLLED HOUSE
BILL NO. 4030

By: Caldwell (Trey) and Kane of
the House

and

Hall and Haste of the
Senate

An Act relating to education; specifying apportionment of certain appropriated funds; providing for the budgeting of funds in certain categories and amounts; requiring development of certain performance measures; requiring transfers of certain funds; limiting authority to reduce certain apportionments; requiring certain funds to be expended for certain purposes; stating purposes for allocated funds; requiring certain transfer of funds; stating legislative intent regarding expenditures for direct costs; prohibiting the State Department of Education from contracting for certain administrative costs in certain program; providing for duties and compensation of employees of the State Department of Education; requiring the reduction or withholding of State Aid funds for certain purposes; authorizing the State Board of Education to request transfer of certain funds; authorizing the request of early allocations for certain funds; requiring proportional reductions of allocations under certain conditions; authorizing exemption from budgetary limits for unanticipated federal funds; providing procedures; requiring approval of exemption request under certain conditions; requiring budgeting of certain funds in certain years; requiring certain budgeting procedures; prohibiting certain budgeting procedures; appropriating certain funds in certain amount for certain purpose; directing utilization of certain amounts for certain purposes; providing for noncodification; providing an effective date; and declaring an emergency.

SUBJECT: Education

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

For the fiscal year ending June 30, 2027, for the support of public school activities by the State Board of Education payable from monies appropriated and authorized by Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature shall be apportioned as follows:

1. Funds appropriated and authorized by Sections 1, 2, 3, 4, 5, 6, 7, 8, and 19 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature:

Local- and State-supported:

a. Financial Support of Public Schools	\$3,095,577,929.00
b. Redbud School Grants	\$125,000,000.00
SUBTOTAL, PARAGRAPH 1	\$3,220,577,929.00

2. Funds appropriated by Sections 9, 10, 11, 13, 18, 20, 21, and 22 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature, shall be utilized to fund:

a. Certified Employee Health Benefit Allowances	\$420,597,720.00
b. Support Employee Health Benefit Allowances	\$261,700,874.00
c. School Security	\$50,000,000.00
d. The Purchase of Textbooks and Instructional Materials	\$45,190,000.00
e. The Strong Readers Act	\$43,750,000.00

f. The Teachers' Retirement Credit	\$35,000,000.00
g. Early Intervention	\$16,725,341.00
h. Early Childhood Initiatives	\$15,000,000.00
i. Alternative and High Challenge Education	\$14,000,000.00
j. Required Assessments	\$13,405,685.00
k. The Math Achievement and Proficiency Program	\$7,500,000.00
l. The Public School Paid Maternity Leave Revolving Fund	\$6,500,000.00
m. The Revolving Loan Fund Program for Charter School Capital Expenditures, created pursuant to Enrolled House Bill No. 3372 of the 2nd Session of the 60th Oklahoma Legislature, in cooperation with the Statewide Charter School Board, utilizing memoranda of understanding and transferring the funds as needed	\$5,000,000.00
n. Literacy Coaches	\$5,000,000.00
o. Teacher Reading Program Training	\$5,000,000.00
p. The continuation of stipends for speech language pathologists	\$4,250,000.00
q. Math and Reading Screeners	\$4,000,000.00
r. School Lunch Matching	\$3,140,137.00
s. The continuation of a statewide early literacy program that mails free, age-appropriate books each month to children from birth to age five to	

build reading skills and school readiness at no cost to families	\$2,840,000.00
t. The support of a research-based literacy program used in schools that provides evidence-based, print material with a systematic phonics sequence, personalized decodable books, instructional videos, and is family supported	\$2,700,000.00
u. Student Teacher Compensation	\$2,650,000.00
v. Implementation of the provisions of Enrolled Senate Bill No. 1614 of the 2nd Session of the 60th Oklahoma Legislature	\$2,000,000.00
w. Advanced Placement Incentives	\$1,559,863.00
x. Continuation of existing Metrics Software program utilization, which, beginning in the 2026- 2027 school year, will aggregate data to the classroom level	\$1,500,000.00
y. Continuation of a professional development-based educational program that trains teachers to create positive, respectful, and engaging classroom environments that inspire students to achieve academic excellence and strong character development	\$500,000.00
z. The Oklahoma Arts Institute	\$320,000.00
aa. Nationally Recognized Career Readiness Assessments	\$250,000.00

bb. Continuation of a nonprofit, tuition-free alternative education program that combines high school academics with therapeutic counseling to help at-risk students graduate and prepare for college or careers	\$200,000.00
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cc. Support of a program that partners with an institution of higher education that supports students through research-based, high-dosage tutoring focused on early literacy and middle school math	\$159,581.00
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dd. Ag in the Classroom	\$38,000.00
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SUBTOTAL, PARAGRAPH 2	\$970,477,201.00
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3. Funds appropriated by Section 12 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature:

Administrative and Support Functions of the State Department of Education	\$18,297,734.00
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SUBTOTAL, PARAGRAPH 3	\$18,297,734.00
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TOTAL State School Aid and Programs	\$4,209,352,864.00
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SECTION 2. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

For the fiscal year ending June 30, 2027, the State Board of Education shall budget all funds in the following categories and amounts:

Category	Total
1. Payroll, Salaries or Wages, Including Tax-sheltered Deferment Contracts and	

Longevity Payments Authorized by State Statutes	\$38,000,000.00
2. Professional and Personal Services Contracts	\$36,787,370.00
3. Other Operating Funds	\$3,974,901,663.00
4. Expenditure of Federal Funds	\$1,000,000,000.00
TOTAL	\$5,049,689,033.00

The agency shall develop outcome-based performance measures for each budget category.

SECTION 3. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The funds appropriated in Sections 14 and 15 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature in the amount of Three Million Two Hundred Fifty Thousand Dollars (\$3,250,000.00) shall be transferred to the School Consolidation Assistance Fund.

SECTION 4. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The funds appropriated in Sections 16 and 17 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature in the amount of Three Million Two Hundred Fifty Thousand Dollars (\$3,250,000.00) shall be transferred to the Teachers' Retirement System Dedicated Revenue Revolving Fund.

SECTION 5. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The funds allocated in subparagraph f of paragraph 2 of Section 1 of this act specifically for the purpose of funding the Teachers' Retirement Credit shall be transferred to the Teachers' Retirement System of Oklahoma.

SECTION 6. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

If the funds allocated in subparagraph f of paragraph 2 of Section 1 of this act specifically for the purpose of funding the Teachers' Retirement Credit are insufficient to fully fund the employee contribution credits provided for in Section 17-108.2 of Title 70 of the Oklahoma Statutes as invoiced by the Teachers' Retirement System of Oklahoma, the State Department of Education may reduce in equal proportions funds allocated in subparagraphs i, j, p, s, w, y, z, aa, bb, and dd of paragraph 2 of Section 1 of this act. The total amount of funds reduced shall not exceed the additional amount required to fully fund the employee contribution credits.

SECTION 7. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

Of the funds allocated in subparagraph p of paragraph 2 of Section 1 of this act for the purpose of funding stipends for speech language pathologists, Four Million Two Hundred Fifty Thousand Dollars (\$4,250,000.00) shall be transferred to the Oklahoma School Psychologist, Speech-Language Pathologist, and Audiologist National Certification Revolving Fund, created in Section 6-206.1 of Title 70 of the Oklahoma Statutes, for the purpose of awarding annual bonuses as directed.

SECTION 8. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The funds allocated in subparagraph w of paragraph 2 of Section 1 of this act for Advanced Placement Incentives shall be expended for the purpose of providing assistance for students in financial need, providing grants to districts seeking to start new advanced placement (AP) programs, and expanding professional development, pursuant to the provisions of Section 1210.703 of Title 70 of the Oklahoma Statutes.

SECTION 9. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The funds allocated in subparagraph e of paragraph 2 of Section 1 of this act for the Strong Readers Act shall be expended pursuant to the provisions of Section 1210.508A et seq. of Title 70 of the Oklahoma Statutes.

SECTION 10. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The funds allocated in subparagraph j of paragraph 2 of Section 1 of this act for Required Assessments shall be expended for the purpose of administering a statewide student assessment system for grades three through twelve, pursuant to Section 1210.508 of Title 70 of the Oklahoma Statutes.

SECTION 11. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The funds allocated in subparagraph i of paragraph 2 of Section 1 of this act for Alternative and High Challenge Education shall be expended for the purpose of operating the statewide system of alternative education programs, as provided in Section 1210.568 of Title 70 of the Oklahoma Statutes, and for encouraging school districts to participate in innovative alternative education programs.

SECTION 12. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The funds allocated in subparagraph g of paragraph 2 of Section 1 of this act for Early Intervention shall be transferred to the Early Intervention Revolving Fund (Fund 250). It is the intent of the Legislature that funding available for SoonerStart Early Intervention Services be expended for direct services to eligible infants and toddlers and their families. The State Department of Education shall not contract, pay, or reimburse for administrative cost recovery personnel, accounting, management information system costs, and maintenance and operations at the state or local level or indirect costs which do not comply with the requirements of Section 13-125 of Title 70 of the Oklahoma Statutes.

SECTION 13. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The funds allocated in subparagraph h of paragraph 2 of Section 1 of this act for the Early Childhood Initiative shall be expended for the purpose of funding the early childhood program pursuant to the provisions of Section 10-105.4 of Title 70 of the Oklahoma Statutes.

SECTION 14. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

State Aid funds shall be reduced or withheld by the State Board of Education in an amount necessary to ensure compliance with this act.

SECTION 15. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The State Board of Education is authorized to request the Office of Management and Enterprise Services to transfer appropriated funds to the appropriate dispensing fund.

SECTION 16. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The Superintendent of Public Instruction may request through the Director of the Office of Management and Enterprise Services the early transfer by the Oklahoma Tax Commission of tax collections to the Education Reform Revolving Fund for the purpose of early allocation to the State Board of Education's disbursing funds to alleviate cash-flow problems.

SECTION 17. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

If funds appropriated in Sections 1 through 22 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature are not sufficient to fully fund the provisions of this act, each school district that qualifies for funds, excluding Financial Support of Public Schools, pursuant to the provisions of this act shall take a proportionate reduction.

SECTION 18. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

A. The State Superintendent of Public Instruction may request, in the manner provided in this section, that receipt and expenditure of unanticipated federal funds awarded after July 1, 2026, be exempt from expenditure limitations and from budgetary limitations.

1. The Superintendent shall make a request for exemption to the Office of Management and Enterprise Services in writing and file a revised budget work program.

2. The Superintendent shall also file copies of the request for exemption and budget work program revisions with the chair of the

Appropriations Committee of the Oklahoma State Senate and the chair of the Appropriations and Budget Committee of the Oklahoma House of Representatives. The chair of the Appropriations Committee of the Oklahoma State Senate and/or the chair of the Appropriations and Budget Committee of the Oklahoma House of Representatives shall notify the Office of Management and Enterprise Services of any noncompliance of the request with legislative intent within twelve (12) calendar days of receipt of the exemption request.

B. The Office of Management and Enterprise Services shall approve the request for exemption unless both the chair and vice chair of the Legislative Oversight Committee on State Budget Performance provide written notification to the Office of Management and Enterprise Services within twelve (12) calendar days of the Committee's receipt of the exemption request that the exemption subverts the intention and objectives of the Legislature in establishing the original limit. The Office of Management and Enterprise Services shall give written notice of approval or disapproval of each exemption to the agency, the Governor, the chair of the Appropriations Committee of the Oklahoma State Senate, and the chair of the Appropriations and Budget Committee of the Oklahoma House of Representatives within eighteen (18) calendar days of receiving the request.

SECTION 19. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

There is hereby appropriated to the State Board of Education from any monies not otherwise appropriated from the General Revenue Fund of the State Treasury for the fiscal year ending June 30, 2027, the sum of Eighty-one Thousand Seventy-two Dollars (\$81,072.00) to be budgeted and expended in accordance with law.

SECTION 20. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

Of the funds appropriated by Section 19 of this act, Eighty-one Thousand Seventy-two Dollars (\$81,072.00) shall be transferred to the Binocular Screening Revolving Fund created by Enrolled House Bill No. 3016 of the 2nd Session of the 60th Oklahoma Legislature.

SECTION 21. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

It is the intent of the Legislature that compliance with the provisions of this act is enforceable pursuant to the provisions of paragraph 9 of subsection A of Section 18b of Title 74 of the Oklahoma Statutes.

SECTION 22. This act shall become effective July 1, 2026.

SECTION 23. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the House of Representatives the 14th day of April, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 16th day of April, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____

Approved by the Governor of the State of Oklahoma this _____
day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____